

Dashboard 4: Financial Impact & SLA Penalty Intelligence Report

Objective

- Translate SLA performance into measurable financial impact.
- Quantify penalty exposure due to SLA breaches.
- Support procurement and contract renegotiation decisions.

Financial KPI Summary

- Total Shipping Spend – Overall logistics expenditure.
- SLA Penalty Cost – 10% penalty applied on breached shipments.
- Penalty % of Spend – Share of total spend lost due to SLA failure.
- Average Penalty per Breach – Financial impact per failed shipment.

Penalty by Carrier

- Identifies carriers generating highest financial penalties.
- Supports renegotiation and performance-based allocation decisions.

Penalty by Route

- Highlights high-cost origin–destination routes.
- Helps optimize routing and operational strategy.

Penalty by Shipping Mode

- Compares financial impact across Air, Sea, Rail, Road.
- Supports cost-risk tradeoff analysis.

Cost vs Penalty Analysis

- Examines whether higher shipping cost correlates with higher penalties.
- Identifies inefficient or risky high-cost carriers.

Decision Support Framework

- High Spend + High Penalty → Immediate renegotiation.
- High Spend + Low Penalty → Strategic partner.
- Low Spend + High Penalty → Monitor or replace.
- Low Spend + Low Penalty → Stable vendor.

Business Impact

- Improves financial transparency in logistics operations.
- Reduces hidden SLA-related financial losses.
- Enables data-driven procurement strategy.
- Aligns operational performance with financial accountability.